

1 Individual company statement of cash flows



Section overview

- The statement of cash flows of an individual entity was covered in Chapter 2 and in Accounting.
- Lease payments must be split between interest and capital repaid and the two elements presented separately in the statement of cash flows.
- Revaluations will affect the carrying amount of property, plant and equipment, and intangible assets and should be adjusted for when determining the cash paid to acquire assets.

1.1 Revision

Statements of cash flow for single companies were covered in Accounting; in Financial Accounting and Reporting, we look at some of the areas of greater complexity, including additional disclosure requirements and dealing with consolidated statements of cash flows.

As we saw in Chapter 2 the objective of a statement of cash flows is to provide information about the historical changes in **cash and cash equivalents** during the accounting period.

In accordance with IAS 7, Statement of Cash Flows cash flows are classified under the following headings:

- **cash flows from operating activities**
- **cash flows from investing activities**
- **cash flows from financing activities**

Cash generated from operations is shown as part of cash flows from operating activities. A note to the statement of cash flows is then presented showing how the cash generated from operations has been calculated using:

- the **direct method**; or
- the **indirect method**.

Refer back to Chapter 2 if you need a reminder of the proforma for a statement of cash flows and its supporting note.



Professional skills focus: Applying judgement

IAS 7 gives an entity the choice of whether the direct or indirect method is used to prepare the statement of cash flows. The direct method arguably provides more useful information for users of financial statements, but the indirect method is much easier to prepare. Accountants must use their judgement to determine which method is the most appropriate to select, given the particular circumstances of the entity.

1.2 Leases

Lease payments represent **cash outflows** which must be reflected in the statement of cash flows. As we saw in Chapter 7, however, each payment contains two elements – **the payment of interest accrued to date and a repayment of a proportion of the capital outstanding**. For the purposes of preparing the statement of cash flows these two elements must be **presented separately** as follows:

- The **payment of interest** is presented as a cash outflow within interest paid as part of **cash flows from operating activities**.
- The **repayment of the capital element of the lease** is presented as a cash outflow under **cash flows from financing activities**.

Notes

- 1 The acquisition of right-of-use assets by way of a lease requires separate disclosure as a non-cash transaction. This does not result in an immediate cash outflow (other than if payments are made on or before commencement of the lease) but will lead to future cash outflows in respect of both capital repayments and interest payments.
- 2 The acquisition of right-of-use assets under lease arrangements should be considered when calculating the cash purchase of property, plant and equipment if right-of-use assets are presented as part of property, plant and equipment rather than being separately presented as right-of-use assets. The acquisition of right-of-use assets is a non-cash acquisition and therefore should be added to the opening carrying amount of PPE in order to find the cash purchase using the 'missing figure' approach.

1.3 Disclosure of changes in liabilities arising from financing activities

Entities should disclose, in the notes to the financial statements, changes in financing liabilities, for example, lease liabilities or loans. This information helps users of financial statements to gain a better understanding of the financial effect of these liabilities. The disclosure can be provided as a reconciliation and may include:

- changes from financing cash flows;
- changes from acquiring (or losing) control of subsidiaries;
- foreign exchange change effects on the business;
- changes in fair value; and
- any other changes which may require disclosure as a non-cash transaction.



Interactive question 1: Lease

Camel Ltd enters into a contract for the right to use an asset from 1 January 20X7. Under the terms of the lease, Camel Ltd must make three annual lease payments of CU10,000 commencing on 31 December 20X7. On the commencement date of the lease, the present value of future lease payments is CU24,870.

The interest rate implicit in the lease is 10%.

Requirement

Show the effect of the lease on the statement of cash flows. Complete the following proforma.

Statement of cash flows (extract) for the year ended 31 December 20X7

CU

Cash flows from operating activities

Interest paid (W)

Cash flows from financing activities

Payment of lease liabilities (W)

See **Answer** at the end of this chapter.

1.4 Property, plant and equipment - Revaluations

Any revaluation of property, plant and equipment during the period must also be taken into account when calculating cash paid for purchases of property, plant and equipment.

The T-account is as follows:

PROPERTY, PLANT AND EQUIPMENT			
	CU		CU
Balance b/d	X	Disposals	X
RoU assets acquired (if presented within PPE)	X		
Revaluation surplus	X		
Additions (balancing figure)	X	Balance c/d	X
	<u>X</u>		<u>X</u>



Context example: Revaluation

A company's financial statements at 31 December 20X8 showed property, plant and equipment at cost or valuation of CU9,300,000. During the year to 31 December 20X9 it disposed of vehicles that had cost CU450,000 and revalued a freehold property upwards by CU750,000. At 31 December 20X9 the company's property, plant and equipment at cost or valuation amounted to CU11,235,000.

The T-account will be as follows:

PROPERTY, PLANT AND EQUIPMENT			
	CU		CU
Balance b/d	9,300,000	Disposals	450,000
Revaluation surplus	750,000		
Additions (balancing figure)	1,635,000	Balance c/d	11,235,000
	<u>11,685,000</u>		<u>11,685,000</u>

2 Group statement of cash flows



Section overview

- The consolidated statement of cash flows shows cash flows between the group (ie, parent and subsidiaries) and third parties.
- The basis of preparation is essentially the same as for the individual statement of cash flows.
- Dividends paid to the non-controlling interests are presented separately, classified as cash flows from financing activities.

- Dividends received from associates and joint ventures are presented separately, classified as cash flows from investing activities.
- The **net** cash effect of the acquisition/disposal of a subsidiary should be presented separately and classified as cash flows from investing activities.
- Cash payments to acquire an associate or joint venture should be classified as cash flows from investing activities.

2.1 Basic principle

In principle the preparation of the group statement of cash flows is the same as that for the individual entity in that it is derived from the statement of financial position and statement of profit or loss and other comprehensive income. In this case, it is the **consolidated financial statements** that are used.

The **aim of the consolidated statement of cash flows is to show the cash flows between the group and third parties.** (This is consistent with the preparation of the consolidated statement of financial position and consolidated statement of profit or loss.) This is achieved 'automatically' as the information forming the basis of the preparation of the consolidated statement of cash flows (ie, the consolidated statement of profit or loss and consolidated statement of financial position) has already been adjusted for intra-group transactions.

A number of additional issues do need to be considered, however:

- cash paid to the non-controlling interests (dividends paid)
- cash received from associates and joint ventures (dividends received)
- acquisitions/disposals of subsidiaries (net of cash acquired/lost)
- acquisitions of associates and joint ventures

We will consider each of these in the remainder of this chapter.

Note: The method used to measure non-controlling interests does not affect cash flows. For simplicity, the examples in this chapter all have non-controlling interests measured using the proportionate basis.



Professional skills focus: Concluding, recommending and communicating

Information about a group's cash flows is one of the ways in which the users of financial statements can judge the group's past performance and develop a prediction about its future performance. The group statement of cash flows is a key way in which an accountant communicates useful information to a company's stakeholders.

2.2 Cash flows to the non-controlling interests

Non-controlling interests represent third parties, so **dividends paid to the non-controlling interests should be presented as a cash outflow.** This payment should be presented separately and classified as '**Cash flows from financing activities**'.

As we saw in Chapter 2 many of the cash flows were calculated by using a T-account working. This technique also applies to the consolidated statement of cash flows. Dividends paid to the non-controlling interests may be calculated using a T-account as follows:

NON-CONTROLLING INTERESTS

	CU		CU
		b/f NCI (CSFP)	
NCI dividend paid (bal figure)		NCI (CSPL)	
c/f NCI (CSFP)	_____		_____
	_____		_____

See **Answer** at the end of this chapter.



Interactive question 2: Dividend paid to non-controlling interests

Consolidated statement of profit or loss (extract) for the year ended 31 December 20X7

	CU
Group profit before tax	60,000
Income tax expense	(20,000)
Profit for year	<u>40,000</u>
Profit attributable to:	
Owners of the parent	30,000
Non-controlling interests	<u>10,000</u>
	<u>40,000</u>

Consolidated statement of financial position (extract) as at 31 December

	20X7	20X6
	CU	CU
Non-controlling interests	204,000	200,000

Requirement

Calculate the dividend paid to non-controlling interests during 20X7. Complete the T-account below.

NON-CONTROLLING INTERESTS

	CU		CU
		b/f NCI (CSFP)	
NCI dividend paid (bal figure)		NCI (CSPL)	
c/f NCI (CSFP)	_____		_____
	_____		_____

See **Answer** at the end of this chapter.

2.3 Associates and joint ventures

There are two issues to consider with regard to associates and joint ventures:

- (a) **The group share of profit of the associate or joint venture must be deducted as an adjustment in the reconciliation of profit before tax to cash generated from operations when preparing the statement of cash flows using the indirect method.** This is because group profit before tax includes the profit for the year of the associate or joint venture, which is a non-cash amount.

Note: Recall from Chapter 2 that the direct method does not begin with profit before tax and therefore no equivalent adjustment needs to be made when preparing the statement of cash flows using the direct method.



Context example: Cash flows from operating activities

Consolidated statement of profit or loss (extract) for the year ended 31 December 20X7

	CU
Group operating profit	273,000
Share of profit of associates	<u>60,000</u>
Profit before tax	333,000
Income tax expense	<u>(63,000)</u>
Profit for the year	<u><u>270,000</u></u>

Consolidated statement of financial position (extracts) as at 31 Dec

	20X7	20X6
	CU	CU
Inventories	867,000	694,000
Receivables	1,329,000	1,218,000

Cash generated from operations (indirect method) should be calculated and shown as follows:

	CU
Profit before tax	333,000
Adjustments for:	
Share of profit of associates	<u>(60,000)</u>
	273,000
Increase in trade receivables (1,329 - 1,218)	(111,000)
Increase in inventories (867 - 694)	<u>(173,000)</u>
Cash absorbed by operations	<u><u>(11,000)</u></u>

- (b) **Dividends received** from an associate or joint venture are a cash inflow and must be disclosed as a **separate cash flow** classified as '**Cash flows from investing activities**'. The

cash receipt can be calculated as follows:

INVESTMENTS IN ASSOCIATES

	CU		CU
b/f Inv in A (CSFP)	X	Dividend received (balancing figure)	X
Share of profit of A (CSPL)	X	c/f Inv in A (CSFP)	X
	<u>X</u>		<u>X</u>
	<u>=</u>		<u>=</u>



Interactive question 3: Dividends received from joint ventures

Consolidated statement of profit or loss (extract) for the year ended 31 December 20X7

	CU
Group operating profit	100,000
Share of profit of joint venture	<u>20,000</u>
Profit before tax	120,000
Income tax expense	<u>(50,000)</u>
Profit for the year	<u><u>70,000</u></u>

Consolidated statement of financial position (extract) as at 31 December

	20X7	20X6
	CU	CU
Investment in joint ventures	184,000	176,000

Requirement

Calculate the dividend received from joint ventures during 20X7. Complete the T-account below.

INVESTMENT IN JOINT VENTURES

	CU		CU
b/f Inv in JV		Dividend received (bal figure)	
Share of profit of JV	<u> </u>	c/f Inv in JV	<u> </u>
	<u> </u>		<u> </u>

See **Answer** at the end of this chapter.

2.3.1 Acquisition of associates and joint ventures

Payments of cash to acquire associates and joint ventures should be classified as a cash outflow in '**Cash flows from investing activities**'.

2.4 Acquisitions and disposals of subsidiaries

If a subsidiary is acquired or disposed of during the accounting period, **the net cash effect of the purchase or sale transaction should be presented separately under 'Cash flows from investing activities'**. The net cash outflow on acquisition of a subsidiary is the cash purchase price less any cash or cash equivalents acquired. The net cash inflow on disposal of a subsidiary is the cash disposal proceeds less any cash lost as a result of the disposal.



Context example: Acquisition of a subsidiary

Warwick plc acquired 75% of Leamington Ltd by issuing 250,000 CU1 shares at an agreed value of CU2.50 and CU200,000 in cash. At the date of acquisition, the cash and cash equivalents in Leamington Ltd's statement of financial position amounted to CU30,000.

In the statement of cash flows this would be shown as follows:

Cash flows from investing activities

CU

Acquisition of subsidiary Leamington Ltd, net of cash acquired (200,000 - 30,000) = (170,000)

Disclosure relating to subsidiaries acquired/disposed of

Disclosure is required in **the notes to the statement of cash flows** of the following, in aggregate, in respect of both acquisitions and disposals of subsidiaries during the period:

- **total purchase price/disposal consideration;**
- **portion** of purchase price/disposal consideration **discharged by means of cash and cash equivalents;**
- **amount of cash and cash equivalents** in the subsidiary acquired or disposed of; and
- **amount of assets and liabilities** other than cash and cash equivalents **in the subsidiary acquired or disposed of**, summarised by major category.

Examples of these disclosures can be found in IAS 7 Appendix A.

Note: As the cash effect of the acquisition/disposal of the subsidiary is dealt with in a single line item, **care must be taken not to double count the effects of the acquisition/disposal when looking at the movements in individual asset balances.**

Any **loss of control** of the subsidiary should be disclosed in the notes to the financial statements, as this would be significant enough to warrant disclosure under IAS 7 (para. 44).

Assets and liabilities of subsidiaries acquired/disposed of

Each of the individual assets and liabilities of a subsidiary acquired/disposed of during the period must be accounted for when using the 'missing figure' approach to calculating cash flows:

Subsidiary acquired in the period

Add PPE, inventories, payables, receivables, etc of the acquired subsidiary at the date of acquisition to the opening balances when calculating the movement in these items.

Subsidiary disposed of in the period

Subtract PPE, inventories, payables, receivables, etc of the subsidiary at the date of disposal from the opening balances when calculating the movements in these items.

A subsidiary acquired or disposed of in the year will also affect the NCI balance in the statement of financial position. Adjustment is therefore required when calculating the **dividend paid to the non- controlling interests**. The T-account working introduced in section 2.2 above would be modified as follows:

NON-CONTROLLING INTERESTS

	CU		CU
NCI in S at disposal	X	b/f NCI (CSFP)	X
NCI dividend paid (balancing figure)	X	NCI in S at acquisition	X
c/f NCI (CSFP)	X	NCI (CSPL)	X
	X		X

**Worked example: Calculating cash flows**

Continuing from the worked example above (Acquisition of a subsidiary) you have the following additional information.

Consolidated statement of financial position (extract) of Warwick plc at 31 December

	20X7	20X6
	CU	CU
Property, plant and equipment	500,000	400,000

At the date of acquisition Leamington Ltd's statement of financial position included property, plant and equipment at a carrying amount of CU75,000.

There were no disposals of property, plant and equipment in the period. Depreciation of CU25,000 was charged to the consolidated statement of profit or loss.

Requirement

Calculate the amount to be disclosed as 'Purchase of property, plant and equipment' under 'Cash flows from investing activities'.

Solution

Normally, when preparing the statement of cash flows, a comparison of the opening and closing assets, adjusted for right-of-use assets (if presented as part of PPE), revaluations and depreciation is made to determine the cost of additions. In this case if we make the comparison there are CU125,000 of additional assets ($500 + 25 - 400$). However, CU75,000 of these additional assets **are as a result of the acquisition of the subsidiary**. The cash outflow due to the purchase of the subsidiary as a whole is dealt with separately as we described above, and here we are only concerned with any **other assets** purchased. Therefore the cash flows should be presented as follows:

CU

Cash flows from investing activities

Acquisition of subsidiary Leamington Ltd, net of cash acquired	(170,000)
Purchase of property, plant and equipment (W)	<u>(50,000)</u>

WORKING

	CU		CU
b/f	400,000	Depreciation	25,000
On acquisition of subsidiary	75,000		
Additions (balancing figure)	<u>50,000</u>	c/f	<u>500,000</u>
	525,000		<u>525,000</u>

**Professional skills focus: Assimilating and using information**

Preparing a group statement of cash flows requires pulling together and using information from various sources, particularly in the case of an acquisition or disposal of a subsidiary in the year. You must make sure you take into account the net cash flows in acquiring or disposing of the subsidiary, and the impact that subsidiary's assets and liabilities have on the workings for other cash flows, as seen above.

**Interactive question 4: Acquisition of a subsidiary**

On 1 October 20X8 P plc acquired 90% of S Ltd by issuing 100,000 shares at an agreed value of CU2 per share and paying CU100,000 in cash.

At that time the fair value of the identifiable assets acquired and liabilities assumed by P plc was equal to the carrying amount of the net assets of S Ltd. The carrying amount of the net assets of S Ltd at the date of acquisition was as follows:

	CU
Property, plant and equipment	190,000
Inventories	70,000
Trade receivables	30,000
Cash and cash equivalents	10,000
Trade payables	(40,000)
	<u>260,000</u>

The consolidated statements of financial position of P plc as at 31 December were as follows:

	20X8	20X7
	CU	CU
Non-current assets		
Property, plant and equipment	2,500,000	2,300,000
Goodwill	66,000	
	<u>2,566,000</u>	<u>2,300,000</u>
Current assets		
Inventories	1,450,000	1,200,000
Trade receivables	1,370,000	1,100,000
Cash and cash equivalents	76,000	50,000
	<u>2,896,000</u>	<u>2,350,000</u>
	<u>5,462,000</u>	<u>4,650,000</u>
Equity attributable to owners of the parent		
Ordinary share capital (CU1 shares)	1,150,000	1,000,000
Share premium account	650,000	500,000
Retained earnings	1,791,000	1,530,000
	<u>3,591,000</u>	<u>3,030,000</u>
Non-controlling interests	31,000	
Total equity	<u>3,622,000</u>	<u>3,030,000</u>
Current liabilities		
Trade payables	1,690,000	1,520,000
Income tax payable	150,000	100,000
	<u>1,840,000</u>	<u>1,620,000</u>
	<u>5,462,000</u>	<u>4,650,000</u>

The consolidated statement of profit or loss for the year ended 31 December 20X8 was as follows:

	CU
Revenue	10,000,000
Cost of sales	<u>(7,500,000)</u>
Gross profit	2,500,000
Administrative expenses	<u>(2,080,000)</u>
Profit before tax	420,000
Income tax expense	<u>(150,000)</u>
Profit for the year	270,000
Profit attributable to:	
Owners of P plc	261,000
Non-controlling interests	9,000
	<u>270,000</u>

The statement of changes in equity for the year ended 31 December 20X8 (extract) was as follows:

	Retained earnings CU
Balance at 31 December 20X7	1,530,000
Total comprehensive income for the year	261,000
Balance at 31 December 20X8	<u>1,791,000</u>

You are also given the following information:

- (1) All other subsidiaries are wholly owned. P did not acquire or dispose of any other subsidiaries in the year.
- (2) Depreciation charged to the consolidated statement of profit or loss amounted to CU210,000.
- (3) There were no disposals of property, plant and equipment during the year.
- (4) Goodwill is not impaired.
- (5) Non-controlling interests are valued on the proportionate basis.

Requirement

Prepare a consolidated statement of cash flows for P plc for the year ended 31 December 20X8 under the indirect method in accordance with IAS 7, Statement of Cash Flows.

The only notes required are those reconciling profit before tax to cash generated from operations and a note showing the effect of the subsidiary acquired in the period.

See **Answer** at the end of this chapter.



Interactive question 5: Disposal of a subsidiary

Below is the consolidated statement of financial position of the Othello Group as at 30 June 20X8 and the consolidated statement of profit or loss for the year ended on that date:

Consolidated statement of financial position as at 30 June

	20X8 CU	20X7 CU
Non-current assets		
Property, plant and equipment	4,067,000	3,950,000
Current assets		
Inventories	736,000	535,000
Receivables	605,000	417,000
Cash and cash equivalents	294,000	238,000
	<u>1,635,000</u>	<u>1,190,000</u>
	<u>5,702,000</u>	<u>5,140,000</u>
Equity attributable to owners of the parent		
Share capital	1,000,000	1,000,000
Retained earnings	3,637,000	3,118,000
	<u>4,637,000</u>	<u>4,118,000</u>
Non-controlling interests	<u>482,000</u>	<u>512,000</u>

Total equity	<u>5,119,000</u>	<u>4,630,000</u>
Current liabilities		
Trade payables	380,000	408,000
Income tax payable	<u>203,000</u>	<u>102,000</u>
	<u>583,000</u>	<u>510,000</u>
	<u>5,702,000</u>	<u>5,140,000</u>

Consolidated statement of profit or loss for the year ended 30 June 20X8 (summarised)

	CU
Continuing operations	
Profit before tax	862,000
Income tax expense	<u>(290,000)</u>
Profit for the year from continuing operations	572,000
Discontinued operations	
Profit for the year from discontinued operations	<u>50,400</u>
Profit for the year	<u>622,400</u>
	CU
Profit attributable to:	
Owners of Othello plc	519,400
Non-controlling interests	<u>103,000</u>
	<u>622,400</u>

You are given the following information:

(1) Othello plc sold its entire interest in Desdemona Ltd on 31 March 20X8 for cash of CU400,000. Othello plc had acquired an 80% interest in Desdemona Ltd on incorporation several years ago. The net assets of Desdemona Ltd at the date of disposal were:

	CU
Property, plant and equipment	390,000
Inventories	50,000
Receivables	39,000
Cash and cash equivalents	20,000
Trade payables	<u>(42,000)</u>
	<u>457,000</u>

(2) The profit for the period from discontinued operations figure is made up as follows:

	CU
Profit before tax	20,000
Income tax expense	<u>(4,000)</u>
Profit on disposal	<u>34,400</u>
	<u>50,400</u>

(3) The depreciation charge for the year was CU800,000.
There were no disposals of non-current assets other than on the disposal of the subsidiary.

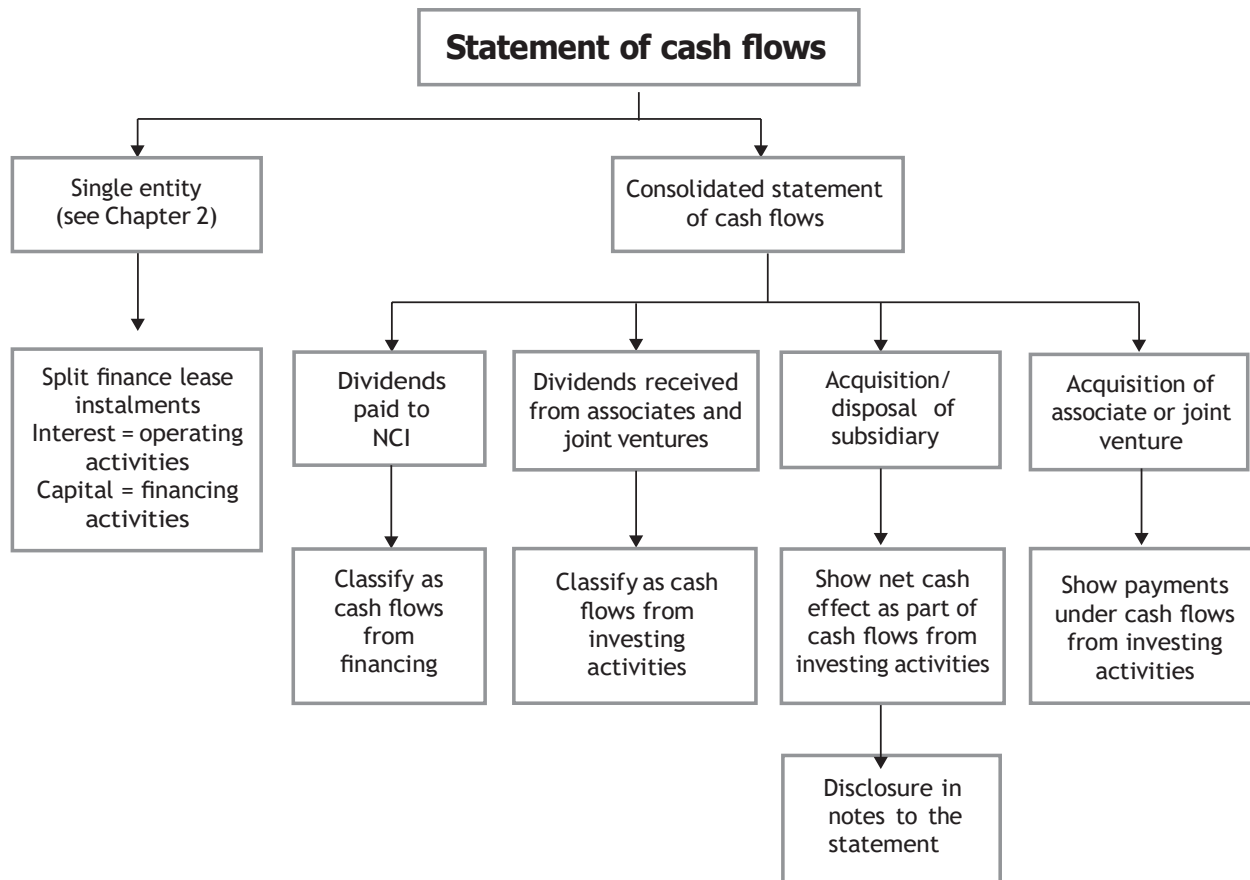
Requirements

With regard to the consolidated statement of cash flows for the year ended 30 June 20X8:

- 5.1 Show how the disposal should be presented in the statement of cash flows.
- 5.2 Calculate additions to property, plant and equipment as they will be reflected in the statement of cash flows.
- 5.3 Calculate dividends paid to non-controlling interests.
- 5.4 Prepare the note to the statement of cash flows required for the disposal of the subsidiary.
- 5.5 Prepare the reconciliation of profit before tax to cash generated from operations. See

Answer at the end of this chapter.

Summary



Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1	What are three headings under which cash flows are classified in the statement of cash flows? (Topic 1)
2	How should the cash flows associated with lease payments be presented in the statement of cash flows? (Topic 1)
3	How should dividends paid to non-controlling interests be presented in the group statement of cash flows? (Topic 2)
4	What issues do you need to consider in relation to associates and joint ventures in the group statement of cash flows? (Topic 2)
5	How is the net cash effect of the purchase of a subsidiary presented in the group statement of cash flows? (Topic 5)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Cloudesdale plc	This is a good test of several aspects of the learning in this chapter and you should make sure you give it a good go. In this question, a junior accountant has prepared a group statement of cash flows but has not adjusted for a number of issues, such as the acquisition of a subsidiary.
Greenfingers plc	In this question, you are required to prepare a group statement of cash flows from the draft group financial statements of a group. This is a good test of whether you can pull a whole group statement of cash flows together.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Slick plc	This question requires you to prepare the investing and financing activities section of Slick plc's group statement of cash flows. The question includes some adjustments to deal with, including for the acquisition of a subsidiary during the year.
Antibes Ltd (part 1 only)	In part (a), you must prepare extracts from the consolidated statement of cash flows, focusing on the financing activities and investing activities sections only. In part (b), you are required to describe the adjustments required in the reconciliation of profit before tax to cash from operations in respect of a joint venture and state why they are required. This is a good test of whether you understand the difference between profit and cash and how that is applied in the statement of cash flows.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

Note: All of IAS 7 is examinable with the exception of paragraphs 24–28, 38 and Appendix B. The paragraphs listed below are the key references you should be familiar with.

1 Statement of cash flows and leases

- Disclose the assets acquired via leases as a non-cash transaction – **IAS 7 (43-44)**
- Additional disclosures from changes in liabilities arising from financing activities – **IAS 7 (44A- 44E)**

2 Group statements of cash flows

- Example of a consolidated statement of cash flows – **IAS 7 Appendix A**
- Cash flows arising from acquisitions/disposals of subsidiaries and acquisitions of associates should be:
 - presented separately; and
 - classified as investing activities – **IAS 7 (39)**
- Additional information should be disclosed in respect of acquisitions and disposals – **IAS 7 (40)**

Also see **Chapter 2** Technical reference section.

Self-test questions

Answer the following questions.

1 IAS 7, Statement of Cash Flows

In accordance with IAS 7, Statement of Cash Flows what is the net cash flow from financing activities given the information below?

Receipts	CU	Payments	CU
Share issue	5,000	Loan repayments (including CU300 interest)	2,200
Loan	9,000	Expense of share issue	500
Payments		CU	
Loan repayments (including CU300 interest)		2,200	
Expense of share issue		500	

2 Sun plc

Sun plc provides the following information:

Consolidated statement of financial position as at 31 December

	20X8	20X7
	CU	CU
Inventories	550,000	475,000
Trade receivables	943,000	800,000
Trade payables	620,000	530,000

Consolidated statement of profit or loss for the year ended 31 December 20X8

	CU
Profit before tax	775,000

During the year Sun plc acquired an 80% interest in the equity share capital of Shine Ltd. The fair value of the identifiable assets acquired and liabilities assumed by Sun plc were equal to their carrying amounts at the date of acquisition. Extracts from Shine Ltd's statement of financial position at acquisition were as follows:

	CU
Inventories	80,000
Trade receivables	110,000
Trade payables	70,000

Requirement

In accordance with IAS 7, Statement of Cash Flows what is the cash generated from operations in the consolidated statement of cash flows of Sun plc for the year ended 31 December 20X8?

3 Spades plc

Spades plc, which has a number of subsidiaries, acquired an 80% interest in the share capital of Clubs Ltd on 1 May 20X6, when the net assets of Clubs Ltd were CU600,000. The fair value of the identifiable assets acquired and liabilities assumed by Spades plc were equal to their carrying amounts at the date of acquisition.

20X6 are as set out below.

	20X6	20X5
	CU	CU
Non-controlling interests	750,000	720,000

Non-controlling interests in the profit for the year was CU100,000.

Requirement

What is the amount to be included in the consolidated statement of cash flows for the dividends paid to non-controlling interests according to IAS 7, Statement of Cash Flows?

4 Rain plc

The following extracts relate to Rain plc:

Consolidated statement of profit or loss for the year ended 31 December 20X5

	CU
Group profit before tax	500,000
Income tax expense	(150,000)
Profit for the year	<u>350,000</u>
Profit attributable to:	
Owners of Rain plc	295,000
Non-controlling interests	55,000

Consolidated statement of financial position as at 31 December

	20X5	20X4
	CU	CU
Non-controlling interests	550,000	525,000

During the year ended 31 December 20X5 Rain plc acquired a 75% interest in the equity shares of Puddle Ltd when the net assets of Puddle Ltd were CU400,000. The fair value of the identifiable assets acquired and liabilities assumed by Rain plc were equal to their carrying amounts at the date of acquisition.

Requirement

In accordance with IAS 7, Statement of Cash Flows what was the amount of dividend paid to the non- controlling interests in the year ended 31 December 20X5?

5 Brink plc

Brink plc acquired a 75% interest in the share capital of Edge Ltd on 1 January 20X6. The fair values of the identifiable assets acquired and liabilities assumed by Brink plc were equal to their carrying amounts at the date of acquisition. The carrying amount of Edge Ltd's property, plant and equipment at that date was CU500,000.

Extracts from the consolidated statement of financial position of Brink plc as at 31 December 20X6 are as follows:

	20X6	20X5
	CU	CU
Property, plant and equipment	4,100,000	3,700,000

Depreciation charged for the year ended 31 December 20X6 was CU970,000.

Requirement

What is the amount to be included in the consolidated statement of cash flows for purchase of property, plant and equipment in accordance with IAS 7, Statement of Cash Flows?

6 Brad plc

The consolidated financial statements of Brad plc show the following information:

Consolidated statement of profit or loss (extract) for the year ended 31 December 20X7

	CU
Group operating profit	220,000
Share of profit of associates	<u>44,000</u>
Profit before tax	264,000
Income tax expense	<u>(110,000)</u>
Profit for year	<u>154,000</u>

Consolidated statement of financial position (extract) as at 31 December 20X7

	20X7	20X6
	CU	CU
Investments in associates	405,000	387,000

Requirement

In accordance with IAS 7, Statement of Cash Flows what is the dividend received from associates by the Brad group during the year ended 31 December 20X7?

7 Romeo plc

Romeo plc had acquired 75% of Juliet Ltd for CU750,000 a number of years ago. During the year ended 31 December 20X7 Romeo plc disposed of its entire interest in Juliet Ltd for CU1,020,000 in cash. The net assets of Juliet Ltd at the date of disposal were:

	CU
Property, plant and equipment	700,000
Inventories and receivables	150,000
Cash and cash equivalents	75,000
Trade payables	<u>(47,000)</u>
	<u>878,000</u>

Requirement

In accordance with IAS 7, Statement of Cash Flows what amount would be disclosed as 'Disposal of subsidiary' under cash flows from investing activities?

8 Cloudesdale plc

Cloudesdale plc has a number of subsidiaries and an investment in a joint venture. A junior accountant has prepared the following group statement of cash flows.

Consolidated statement of cash flows for the year ended 31 December 20X9

	CUm	CUm
Net cash from operating activities		354
Cash flows from investing activities		
Purchase of property, plant and equipment	<u>(105)</u>	
Net cash used in investing activities		(105)
Cash flows from financing activities		
Repayment of loan notes	<u>(80)</u>	
Net cash used in financing activities		(80)
Net increase in cash and cash equivalents		<u>169</u>

Note: Reconciliation of profit before tax to net cash from operating activities

	CUm
Group profit before taxation	335
Depreciation	120
Interest expense	<u>15</u>
	470
Decrease in inventories	42
Increase in trade receivables	(16)
Decrease in trade payables	<u>(57)</u>
Cash generated from operations	439
Interest paid	(20)
Income tax paid	<u>(65)</u>
Net cash from operating activities	354

The increase in cash and cash equivalents shown above does not agree to the amounts of cash and cash equivalents shown in the consolidated statements of financial position at 31 December 20X8 (CU124,000) and 31 December 20X9 (CU235,000). This is because the following issues have not been taken into account:

- (1) Cloudesdale plc acquired a 100% subsidiary during the year. The fair values of the identifiable assets acquired and liabilities assumed, the goodwill at acquisition, and the consideration transferred were as follows:

	CUm
Property, plant and equipment	90
Inventories	20
Trade receivables	25
Cash and cash equivalents	15
Trade payables	(40)
Goodwill	30
Consideration transferred (all cash)	140

- (2) Non-controlling interests brought forward at the beginning of the year was CU70 million. Profit attributable to the non-controlling interests for the year ended 31 December 20X9 was CU35 million. The consolidated statement of financial position at 31 December 20X9 showed non-controlling interests at CU79 million.
- (3) The group profit before taxation includes CU8 million being group share of profit of a joint venture. During the year dividends of CU6 million were received from the joint venture.

Requirement

In accordance with IAS 7, Statement of Cash Flows, prepare an amended statement of cash flows and reconciliation of profit before tax to net cash from operating activities for Cloudesdale plc for the year ended 31 December 20X9, taking account of issues 1 to 3 above.

9 Greenfingers plc

Greenfingers plc is a 40-year-old company producing wooden furniture. Twenty-two years ago, it acquired a 100% interest in a timber import company, Arbre Ltd. In 20W9 it acquired a 40% interest in a competitor, Water Features Ltd and on 1 January 20X7 it acquired a 75% interest in Garden Furniture Designs Ltd. The draft consolidated accounts for the Greenfingers Group are as follows.

Draft consolidated statement of profit or loss for the year ended 31 December 20X7

	CU
Operating profit	4,455,000
Share of profit of associates	1,050,000
Dividends from long-term investments	465,000
Interest payable	<u>(450,000)</u>
Profit before taxation	5,520,000
Income tax expense	<u>(1,485,000)</u>
Profit for the year	<u>4,035,000</u>
Profit attributable to:	
Owners of Greenfingers plc	3,735,000
Non-controlling interests	<u>300,000</u>
	<u>4,035,000</u>

Draft consolidated statement of financial position as at 31 December

		20X7		20X6
	CU	CU	CU	CU
ASSETS				
Non-current assets				
Property, plant and equipment				
Buildings at carrying amount		6,225,000		6,600,000
Machinery: Cost	9,000,000		4,200,000	
Acc depreciation	(3,600,000)		(3,300,000)	
Carrying amount		<u>5,400,000</u>		<u>900,000</u>
		11,625,000		7,500,000
Goodwill		300,000		-
Investments in associates		3,300,000		3,000,000
		20X7		20X6
	CU	CU	CU	CU
Other investments		1,230,000		1,230,000
		<u>16,455,000</u>		<u>11,730,000</u>
Current assets				
Inventories	5,925,000		3,000,000	
Receivables	5,550,000		3,825,000	
Cash and cash equivalents	<u>13,545,000</u>		<u>5,460,000</u>	
		<u>25,020,000</u>		<u>12,285,000</u>
Total assets		<u>41,475,000</u>		<u>24,015,000</u>
EQUITY AND LIABILITIES				
Attributable to owners of the parent				
Ordinary share capital (25p shares)	11,820,000		6,000,000	
Share premium account	8,649,000		6,285,000	
Retained earnings	<u>10,335,000</u>		<u>7,500,000</u>	
	30,804,000		19,785,000	
Non-controlling interests	<u>345,000</u>			
Total equity		31,149,000		19,785,000
Non-current liabilities				
Lease liabilities	2,130,000		510,000	
Loans	<u>4,380,000</u>		<u>1,500,000</u>	
		6,510,000		2,010,000
Current liabilities				
Trade payables	1,500,000		840,000	
Lease liabilities	720,000		600,000	
Income tax payable	1,476,000		690,000	
Interest and finance charges	<u>120,000</u>		<u>90,000</u>	
		3,816,000		2,220,000
Total equity and liabilities		<u>41,475,000</u>		<u>24,015,000</u>

Additional information

- (1) There have been no acquisitions or disposals of buildings during the year.

Machinery costing CU1.5 million was sold for CU1.5 million resulting in a profit of CU300,000. New machinery was acquired in 20X7, including some items acquired by way of leases. The relevant right-of-use assets and lease liabilities were initially recognised at CU2.55 million.

- (2) Information relating to the fair value of identifiable assets acquired and liabilities assumed by Greenfingers plc on the acquisition of Garden Furniture Designs Ltd is as follows:

	CU
Property, plant and equipment	495,000
Inventories	96,000
Trade receivables	84,000
Cash	336,000
Trade payables	(204,000)
Income tax	<u>(51,000)</u>
	756,000
Non-controlling interests	<u>(189,000)</u>
	567,000
Goodwill	<u>300,000</u>
	867,000
2,640,000 ordinary shares issued as part consideration	825,000
Balance of consideration paid in cash	<u>42,000</u>
	<u>867,000</u>

Requirement

Prepare a consolidated statement of cash flows for the Greenfingers Group for the year ended 31 December 20X7 using the indirect method. The only note required is that reconciling profit before tax to cash generated from operations.

Total: 17 marks

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Statement of cash flows (extract) for the year ended 31 December 20X7

	CU
Cash flows from operating activities	
Interest paid (W)	(2,487)
Cash flows from financing activities	
Payment of lease liabilities (W)	(7,513)

WORKING

Lease liability Year ended 31

December 20X7	Bal b/f 1 January 20X7	Interest accrued at 10%	Payment 31 December 20X7	Bal c/f 31 December 20X7
	CU	CU	CU	CU
Lease liability	24,870	2,487	(10,000)	17,357

The payment of CU10,000 therefore represents:

	CU
Interest	2,487
Capital (10,000 - 2,487)	<u>7,513</u>
	10,000

Answer to Interactive question 2

NON-CONTROLLING INTERESTS

	CU		CU
		b/f NCI (CSFP)	200,000
NCI dividend paid (bal figure)	6,000	NCI (CSPL)	10,000
c/f NCI (CSFP)	<u>204,000</u>		
	<u>210,000</u>		<u>210,000</u>

Answer to Interactive question 3

INVESTMENT IN JOINT VENTURES

	CU		CU
b/f Inv in JV	176,000	Dividend received (bal figure)	12,000
Share of profit of JV	20,000	c/f Inv in JV	184,000
	196,000		196,000

Answer to Interactive question 4

Consolidated statement of cash flows for the year ended 31 December 20X8 Cash flows from operating activities

	CU	CU
Cash generated from operations (Note 1)	340,000	
Income taxes paid (W4)	(100,000)	
Net cash from operating activities		240,000
Cash flows from investing activities		
Acquisition of subsidiary S Ltd, net of cash acquired (Note 2)	(90,000)	
Purchase of property, plant and equipment (W1)	(220,000)	
Net cash used in investing activities		(310,000)
Cash flows from financing activities		
Issue of share capital (1,150 + 650 - 1,000 - 500 - (100 × CU2))	100,000	
Dividends paid to non-controlling interests (W3)	(4,000)	
Net cash from financing activities		96,000
Net increase in cash and cash equivalents		26,000
Cash and cash equivalents at the beginning of period		50,000
Cash and cash equivalents at the end of period		76,000

Notes to the statement of cash flows

Reconciliation of profit before tax to cash generated from operations

	CU
Profit before taxation	420,000
Adjustments for:	
Depreciation	210,000
	630,000
Increase in trade receivables (1,370 - 1,100 - 30)	(240,000)
Increase in inventories (1,450 - 1,200 - 70)	(180,000)
Increase in trade payables (1,690 - 1,520 - 40)	130,000
Cash generated from operations	340,000

Acquisition of subsidiary

During the period the group acquired subsidiary S Ltd. The fair value of assets acquired and liabilities assumed were as follows:

	CU
Cash and cash equivalents	10,000
Inventories	70,000
Receivables	30,000
Property, plant and equipment	190,000
Trade payables	(40,000)
Non-controlling interests	(26,000)
	<u>234,000</u>
Goodwill	66,000
Total purchase price	300,000
Less: Cash of S Ltd	(10,000)
Non-cash consideration	<u>(200,000)</u>
Cash flow on acquisition net of cash acquired	90,000

WORKINGS (1)

(1)

PROPERTY, PLANT AND EQUIPMENT

	CU		CU
b/f	2,300,000	Depreciation	210,000
On acquisition of subsidiary	190,000	c/f	2,500,000
Additions (β)	<u>220,000</u>		
	2,710,000		<u>2,710,000</u>

(2)

GOODWILL

	CU		CU
b/f			
Additions $(100 + 200 + (10\% \times 260) - 260)$	66,000	Impairment losses (β)	0
	<u>66,000</u>	c/f	<u>66,000</u>
			66,000

(3)

NON-CONTROLLING INTEREST

	CU		CU
Dividend (β)	4,000	b/f	
c/f	31,000	On acquisition	26,000
		CSPL	<u>9,000</u>
	<u>35,000</u>		35,000

(4)

INCOME TAX PAYABLE

	CU		CU
		b/f	100,000
Cash paid (β)	100,000	CSPL	150,000
c/f	<u>150,000</u>		
	250,000		<u>250,000</u>

Answer to Interactive question 5**5.1 Cash flows from investing activities**

	CU
Disposal of subsidiary Desdemona Ltd, net of cash disposed of (400 - 20)	380,000

5.2 Cash flows from investing activities

	CU
Purchase of property, plant and equipment (W)	(1,307,000)

WORKING

	CU		CU
b/f	3,950,000	On disposal of subsidiary	390,000
Additions (β)	1,307,000	Depreciation	800,000
		c/f	<u>4,067,000</u>
	<u>5,257,000</u>		5,257,000

5.3 Cash flows from financing activities

	CU
Dividends paid to non-controlling interests (W)	(41,600)

WORKING

	CU		CU
Disposal ($457 \times 20\%$)	91,400	b/f	512,000
Dividend paid (β)	41,600	CSPLOCI	103,000
c/f	482,000		
	615,000		615,000

5.4 Note to the statement of cash flows

During the period the group disposed of subsidiary Desdemona Ltd. The carrying amount of assets and liabilities disposed of were as follows:

	CU
Cash and cash equivalents	20,000
Inventories	50,000
Receivables	39,000
Property, plant and equipment	390,000
Payables	(42,000)
Non-controlling interests (W2)	(91,400)
	365,600
Profit on disposal	34,400
Total sale proceeds	400,000
Less cash of Desdemona Ltd disposed of	(20,000)
Cash flow on disposal net of cash disposed of	380,000

5.5 Reconciliation of profit before tax to cash generated from operations

	CU
Profit before tax ($862 + 20$)	882,000
Adjustments for:	
Depreciation	800,000
	1,682,000
Increase in receivables ($605 - 417 + 39$)	(227,000)
Increase in inventories ($736 - 535 + 50$)	(251,000)
Increase in payables ($380 - 408 + 42$)	14,000
Cash generated from operations	1,218,000

Answers to Self-test questions

1 IAS 7, Statement of Cash Flows

CU11,600

		CU
Inflows	Share issue	5,000
	Loan	9,000
		<u>14,000</u>
Outflows	Share expenses	(500)
	Loan repayments, less interest (2,200 - 300)	(1,900)
		<u>11,600</u>

2 Sun plc

CU767,000

	CU
Profit before tax	775,000
Decrease in inventory (550 - 475 - 80)	5,000
Increase in receivables (943 - 800 - 110)	(33,000)
Increase in payables (620 - 530 - 70)	20,000
	<u>767,000</u>

3 Spades plc

CU190,000

NON-CONTROLLING INTERESTS

	CU		CU
c/f	750,000	b/f	720,000
		Non-controlling interests in profit for the year	100,000
Dividend paid to non-controlling interests (β)	190,000	Acquisition of subsidiary (600 × 20%)	120,000
	<u>940,000</u>		<u>940,000</u>

4 Rain plc

CU130,000

NON-CONTROLLING INTERESTS

	CU		CU
		b/f (CSFP)	525,000
NCI dividend paid (β)	130,000	NCI (CSPL)	55,000
c/f (CSFP)	550,000	NCI in S acquired (400,000 $\times$ 25%)	100,000
	<u>680,000</u>		<u>680,000</u>

5 Brink plc

CU870,000

PPE – CARRYING AMOUNT

	CU		CU
b/f	3,700,000		
Acquired with Edge	500,000	Depreciation charge	970,000
Additions (β)	870,000	c/f	4,100,000
	<u>5,070,000</u>		<u>5,070,000</u>

6 Brad plc

CU26,000

INVESTMENTS I ASSOCIATES

	CU		CU
b/f (CSFP)	387,000	Dividend received (β)	26,000
Share of profit (CSPL) (tax already deducted)	44,000	c/f (CSFP)	405,000
	<u>431,000</u>		<u>431,000</u>

7 Romeo plc

CU945,000 (1,020,000 - 75,000)

8 Cloudesdale plc

Statement of cash flows for the year ended 31 December 20X9

	CUm	CUm
Net cash from operating activities		351
Cash flows from investing activities		
Purchase of property, plant and equipment (105 - 90 re acq)	(15)	
Acquisition of subsidiary net of cash acquired (140 - 15)	(125)	
Dividend received from joint venture	6	
Net cash used in investing activities		(134)
Cash flows from financing activities Repayment of loan notes		
	(80)	
Dividend paid to non-controlling interests (70 + 35 - 79)	(26)	
Net cash used in financing activities		(106)
Net increase in cash and cash equivalents		111
Cash and cash equivalents at 31 December 20X8		124
Cash and cash equivalents at 31 December 20X9		235

Note: Reconciliation of profit before tax to net cash from operating activities

	CUm
Group profit before taxation	335
Less share of profit of joint venture	(8)
Depreciation	120
Interest expense	15
	462
Decrease in inventories (42 + 20 re acquisition)	62
Decrease in trade receivables (16 - 25 re acquisition)	9
Decrease in trade payables (57 + 40 re acquisition)	(97)
Cash generated from operations	436
Interest paid	(20)
Income tax paid	(65)
Net cash from operating activities	351

9 Greenfingers plc

Consolidated statement of cash flows for the year ended 31 December 20X7

	CU	CU
Cash flows from operating activities		
Cash generated from operations (Note)		1,116,000
Interest paid (W2)		(420,000)

	CU	CU
Income taxes paid (W3)	<u>(750,000)</u>	
Net cash used in operating activities		(54,000)
Cash flows from investing activities		
Acquisition of subsidiary, net of cash acquired (W4)	294,000	
Purchase of property, plant and equipment (W5)	(3,255,000)	
Proceeds from sale of property, plant and equipment	1,500,000	
Dividends received from investments	465,000	
Dividends received from associates (W6)	<u>750,000</u>	
Net cash used in investing activities		(246,000)
Cash flows from financing activities		
Proceeds from issue of ordinary share capital (W7)	7,359,000	
Proceeds from issue of loan notes (W8)	2,880,000	
Payments under leases (W10)	(810,000)	
Dividends to owners of Greenfingers (3,735 + 7,500 - 10,335)	(900,000)	
Dividends paid to non-controlling interests (W9)	<u>(144,000)</u>	
Net cash from financing activities		<u>8,385,000</u>
Net increase in cash and cash equivalents		8,085,000
Cash and cash equivalents at beginning of year		<u>5,460,000</u>
Cash and cash equivalents at end of year		<u>13,545,000</u>
Reconciliation of profit before tax to cash generated from operations		CU
		5,520,000
Profit before tax Adjustments for:		
Depreciation (W1)		975,000
Profit on sale of property, plant and equipment		(300,000)
Share of profits of associates		(1,050,000)
Investment income		(465,000)
Interest expense		<u>450,000</u>
		5,130,000
Increase in receivables (5,550 - 3,825 - 84)		(1,641,000)
Increase in inventories (5,925 - 3,000 - 96)		(2,829,000)
Increase in trade payables (1,500 - 840 - 204)		<u>456,000</u>
Cash generated from operations		<u>1,116,000</u>

(1)

	CU		CU
Disposal	300,000	b/f (Machinery)	3,300,000
c/f (Machinery)	<u>3,600,000</u>	Depreciation charge (β)	<u>600,000</u>
	<u>3,900,000</u>		<u>3,900,000</u>

975,000

	CU		CU
Cash paid (β)	420,000	b/f	90,000
c/f	120,000	CSPL	450,000
	<u>540,000</u>		<u>540,000</u>

CU		CU
750,000	b/f	690,000
1,476,000	CSPL	1,485,000
	On acquisition	51,000
<u>2,226,000</u>		<u>2,226,000</u>

Net cash inflow	<u>294,000</u>
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(5)

MACHINERY – COST

	CU		CU
b/f	4,200,000	Disposal	1,500,000
On acquisition	495,000		
Right-of-use assets	2,550,000		
Additions (β)	3,255,000	c/f	9,000,000
	<u>10,500,000</u>		<u>10,500,000</u>

(6)

INVESTMENTS IN ASSOCIATES

	CU		CU
b/f	3,000,000		
Share of profit (CSPL)	1,050,000	Dividends received (β)	750,000
	<u>4,050,000</u>	c/f	3,300,000
			<u>4,050,000</u>

(7)

SHARE CAPITAL AND PREMIUM

	CU'000		CU'000
		b/f (6,000 + 6,285)	12,285
		Non-cash consideration (660 + 165)	825
c/f (11,820 + 8,649)	<u>20,469</u>	Proceeds from issue (β)	<u>7,359</u>
	<u>20,469</u>		<u>20,469</u>

(8)

LOAN NOTES

	CU		CU
		b/f	1,500,000
		Proceeds from issue (β)	2,880,000
c/f	<u>4,380,000</u>		
	<u>4,380,000</u>		<u>4,380,000</u>

(9)

NON-CONTROLLING INTERESTS

	CU		CU
		b/f	-
Dividends to NCI (β)	144,000	Share of profits (CSPL)	300,000
c/f	<u>345,000</u>	On acquisition	<u>189,000</u>
	<u>489,000</u>		<u>489,000</u>

(10)

OBLIGATIONS UNDER LEASES

	CU		CU
		b/f Current	600,000
		b/f Long-term	510,000
Capital repayment (β)	810,000	New lease commitment	2,550,000
c/f Current	720,000		
c/f Long-term	<u>2,130,000</u>		
	<u>3,660,000</u>		<u>3,660,000</u>